2. (SBU) Several leading Senators signaled they are inclined to compromise on the minimum wage law, including Senate President Kely Bastien. During a June 8 speech to the National Assembly, Bastien urged protestors to refrain from violence and echoed a key demand of the students, who called on authorities to release protesters arrested by police June 4-5 (Ref. B). Senator Jean Hector Anacacis called for calm and Senator Joseph Lambert asked protestors to peacefully await President Preval's decision on whether to sign the minimum wage law. According to a key advisor to Bastien, legislators left the June 5 meeting with President Preval unsure of whether he would sign the bill or send it back to Parliament for revisions. (Note: Since Parliament adjourned shortly after the Senate voted the minimum wage bill in early May, Parliament was required to resubmit the bill to President Preval after the opening of the next session on June 8. Preval has 8 working days from that date to sign the bill into law or return it to Parliament with his objections. Senate President Bastien's chief of staff confirmed to Poloff June 9 that the Senate had indeed resubmitted the bill to the National Palace the preceding day. End note.) Minimum wage bill sponsor Deputy Stephen Benoit summoned industry leaders to a meeting in Parliament June 10, demanding that they produce evidence to support their claims that an increased minimum wage would eliminate their profit margins.

3. (C) Some legislators argue that the bill should be promulgated without a "phase-in'' period or any other modifications. Deputy Cholzer Chancy told the press he was unconvinced by Preval's explanations during a meeting at the National Palace June 5, and had seen no evidence that the assembly sector would suffer if the law were enacted. Senator Youri Latortue criticized the President for only belatedly consulting with Parliament on the matter and Senator Rudy Heriveaux voiced his support for peaceful student protests to pressure Preval to sign the law as passed. In a conversation with Poloff June 8, Heriveaux described his failed attempts as president of the Senate's commission on public health to reconcile the students and the university administration. He said he attempted to mediate the conflict the week of June 1, but students' demands escalated as street protests gained momentum. He regretted that the protestors' "rough handling'' by the police and the arrest of 24 of them had further radicalized the students.

4. (C) Many in Haiti's parliament seem exasperated by what they consider to be untimely lobbying efforts by President Preval and industry representatives. Deputy Sorel Francois, who voted against the new minimum wage law, told Poloff June 9 that even legislators inclined to moderation would face tremendous public pressure to reject any proposed modifications to a law they have already voted to approve. At a meeting the week of June 1 with industry representatives and 11 deputies, many were receptive to industry leaders' arguments, but argued that the time for lobbying was before, not after, the Parliament approved the law. Senators Heriveaux and Michel Clerie have